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The U.S. and Foreign Commercial Service: Overview and Reform Proposals

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Introduction

The U.S. and Foreign Commercial Service (USFCS) is a network of trade and industry specialists that supports U.S. companies looking to enter foreign markets, expand overseas, and attract investment into the United States. It is part of the International Trade Administration (ITA) at the U.S. Department of Commerce (Commerce).

U.S. government programs supporting U.S. businesses overseas generate debate. Proponents maintain that such programs support U.S. jobs and advance U.S. national security, including by countering the global influence of the People's Republic of China (PRC, or China).[1] Skeptics argue that these programs are government subsidies that distort markets and favor politically connected firms.[2] Some may support the general mission of such programs but favor changes in program structure or priorities to enhance their effectiveness and efficiency.

During the 119th Congress, Members have considered changes to the USFCS budget and structure, as well as conducted oversight of USFCS operations. For example, legislation has been introduced that would establish regional and sectoral priorities for the USFCS and would move the USFCS and related programs to the U.S. Department of State (State).[3] The Trump Administration proposed cutting the USFCS-related budget in FY2026 by more than half compared to FY2024. Congress did not enact the proposed cuts. The Administration's proposed budget cuts to ITA for FY2027, though not specific with respect to USFCS, could impact USFCS operations if enacted.

Overview of the Commercial Service

Between the early 1900s and the 1970s, responsibilities for overseas promotion of U.S. commercial interests alternated between the Commerce Department (and its predecessors) and the State Department.[4] Such responsibilities initially included reporting on market conditions in foreign countries and broadened to include commercial diplomacy functions.[5] In 1979, Congress required the President to develop a trade reorganization plan that, among other things, would result in an "upgrading of commercial programs and commercial attaches overseas."[6] President

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[1] For example, Dilawar Syed (State Department Special Representative for Commercial and Business Affairs), "Commercial Diplomacy: How U.S. Foreign Policy Creates Jobs and Economic Opportunity," DipNote: Economic Prosperity and Trade Policy, June 6, 2023; and Joshua Burke, "Losing to China," *The Foreign Service Journal*, March 2025.

[2] For example, Sophia Perez and Demian Brady, "Leave Foreign Subsidies and Overseas Product Promotion to the Private Sector," National Taxpayers Union Foundation, August 11, 2021; and Michael Walsh, "The Liberty Corridor and American Commercial Diplomacy," *Foreign Policy Research Institute*, July 30, 2025.

[3] See, for example, legislation that would direct the USFCS to increase its operations in the Pacific Islands (H.R. 562) and Africa, Latin America, and the Caribbean (S. 816); to ensure USFCS support for U.S. businesses in rural areas (S. 2456), microentrepreneurs (S. 1125), and creative industries (S. 1125); and to reorganize USFCS (Amendment to H.R. 5248, https://docs.house.gov/meetings/FA/FA00/20250917/118618/BILLS-119-5248-K000397-Amdt-65.pdf).

[4] GAO, *Economic and Commercial Diplomacy: State and Commerce Implement a Range of Activities but State Should Enhance Its Training Efforts*, GAO-22-104181, December 2021, p. 6.

[5] U.S. General Accounting Office, "U.S. & Foreign Commercial Service: Comments on Proposed Transfer to the Department of State," March 21, 1995; and Charles Ford, "Commercial Diplomacy: The Next Wave," *Foreign Service Journal*, April 2005.

[6] Trade Agreements Act of 1979 (P.L. 96-39, §1109). The directive came at a time when the United States and other countries were negotiating reductions to tariffs and working to make headway on addressing nontariff barriers in the General Agreement on Tariffs and Trade (GATT), the precursor to the World Trade Organization (WTO).

Jimmy Carter submitted a reorganization plan to Congress in 1979, assigning responsibility for major nonagricultural trade functions, including commercial representation abroad, to the Commerce Secretary.[7] In 1988, Congress codified the USFCS as part of ITA and specified USFCS's purpose, leadership, and structure.[8]

Organizational Structure

The ITA's stated mission is to strengthen U.S. industry's competitiveness, promote U.S. trade and investment, and ensure foreign trading partners' compliance with U.S. trade laws and agreements.[9] Following a 2013 internal consolidation of ITA units, the USFCS became housed within the Global Markets (GM) unit of ITA.[10] The other components of GM are the Advocacy Center, which supports U.S. companies bidding on foreign procurement contracts and projects, and SelectUSA, which aims to draw and retain private investment in the United States.

The USFCS is headed by the Director General of the U.S. and Foreign Commercial Service, who also serves as the Assistant Secretary for Global Markets. In October 2025, the Senate confirmed David L. Fogel to this position. Fogel previously worked at the Export-Import Bank of the United States (Ex-Im Bank), the State Department, and various financial technology companies.

Locations

The USFCS comprises staff at overseas missions in around 80 countries, roughly 100 U.S. export assistance centers (USEACs) across the United States, and its Washington, DC headquarters (see **Figure 1**).

Congress has directed the USFCS to locate offices in foreign cities in regions determined by the Commerce Secretary to present "significant business opportunities" for U.S. exporters (15 U.S.C. §4721(c)(4)). Per the ITA, the USFCS global footprint is focused on: (1) commercial diplomacy, which involves the USFCS engaging directly with foreign governments to address trade barriers and unfair trade practices affecting U.S. business and industry; and (2) export promotion, which involves connecting U.S. companies to foreign markets by identifying potential buyers and partners, providing market research, and other services.[11]

Congress also has directed the USFCS to focus its trade promotion efforts on small- and medium-sized enterprises (SMEs) (15 U.S.C. §4721(b)), which has been a particular focus for USFCS domestic offices (also called U.S. Field).[12] In addition to positioning staff at USEACs, the U.S.

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[7] 93 Stat. 1381. President Carter submitted the plan under the authority of the Reorganization Act of 1977 (P.L. 95-17) and pursuant to the Trade Act of 1979 (P.L. 96-39, §1109). Agricultural export promotion functions are conducted by the U.S. Department of Agriculture's Foreign Agricultural Service. See CRS Report R47836, *USDA's Foreign Agricultural Service: An Overview*, by Benjamin Tsui.

[8] Omnibus Trade and Competitiveness Act of 1988 (P.L. 100-418, Title II §2301, as amended; 15 U.S.C. §4721).

[9] ITA, *Budget Estimates Fiscal Year 2026*, p. ITA-5.

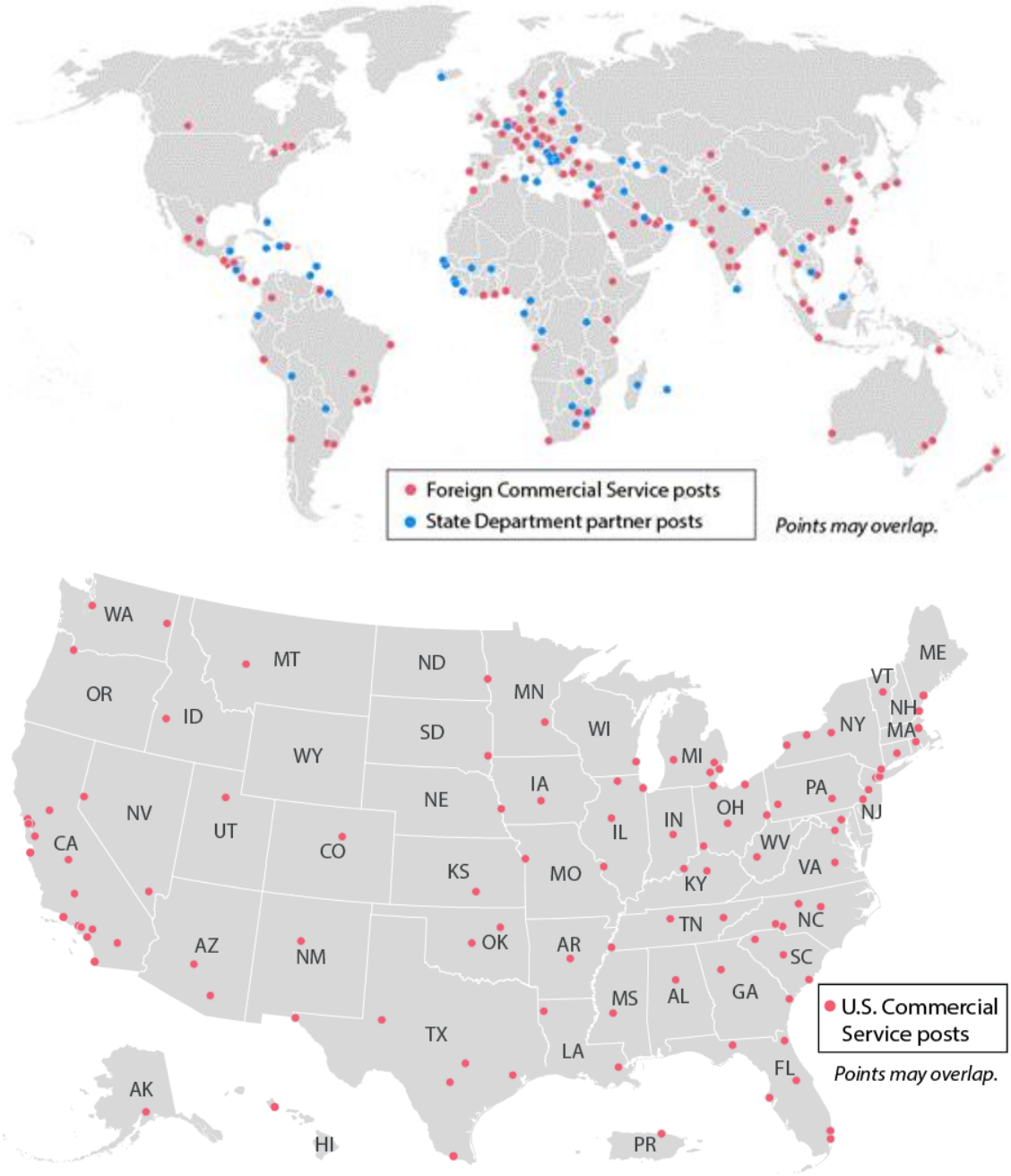
[10] GM is one of three "business" units in ITA. The other two are Industry and Analysis, which provides industry and sectorial expertise, data, and analysis, and Enforcement and Compliance, which responds to "unfair" foreign trade practices and trade barriers by enforcing U.S. laws. ITA also has an Executive Direction and Administration unit that provides leadership, strategic planning, and coordination for ITA. See CRS In Focus IF13048, *International Trade Administration: Overview and Issues*, by Shayerah I. Akhtar, Keigh E. Hammond, and M. Angeles Villarreal; and Commerce Office of Inspector General (OIG), *ITA Management Should Address Significant Challenges Related to Its Recent Consolidation*, March 25, 2015.

[11] ITA, *Budget Estimates Fiscal Year 2026*, pp. ITA-37 – ITA-38.

[12] Compare *Budget Estimates Fiscal Year 2026*, p. ITA-38, which does not indicate a SME focus for the U.S. Field, with ITA, *Budget Estimates Fiscal Year 2025*, p. ITA-67, and ITA, *Budget Estimates Fiscal Year 2024*, p. ITA-75.

Field also operates the National Rural Export Centers to provide tailored support to businesses located in rural areas.

Figure 1. U.S. and Foreign Commercial Service Posts



Source: CRS, with data from the Departments of Commerce and State and ESRI. Date of map and data as of March 3, 2026.

Note: State Department partner posts are locations with no USFCS presence, and where State Department officials conduct USFCS functions.

Services

The USFCS provides a range of services to U.S. businesses. Many services are fee-based; fees vary based on company size. Services include the following.[13]

- **Market Research and Business Counseling.** ITA has online resources to help U.S. businesses gather information on overseas industry opportunities and market conditions. Resources include Country Commercial Guides and sector-specific market intelligence reports. ITA also provides tailored assistance, such as the *Initial Market Check* to assess market potential for a U.S. product or service and *Customized Market Research* to address specific questions.
- **Matchmaking.** USFCS aims to help companies connect with potential foreign buyers and partners. The *International Partner Search* gives U.S. companies a list of potential partners with whom companies can arrange meetings. The *Gold Key Service* offers customized, in-person, meetings for U.S. companies with pre-screened potential partners. ITA also leads *trade shows* and *trade missions*.
- **Foreign Government Engagement.** USFCS engages with foreign governments to advocate on behalf of U.S. businesses, such as those facing trade barriers to exporting to foreign markets.[14] Per ITA, GM seeks to resolve trade problems before companies turn to formal dispute settlement procedures.[15]

Examples of USFCS Activities

During the second Trump Administration, ITA has issued press releases noting the USFCS' role in securing Boeing aircraft purchase deals of $30 billion with Turkish Airways and of $3 billion with Air Cambodia; and signings of over $20 billion in U.S. commercial deals with Saudi Arabia in sectors such as energy, technology, infrastructure, aerospace, and health care.[16] For these and other deals involving the USFCS, ITA has often highlighted the role of GM's Advocacy Center as well.

Budget and Staffing

Congress funds the USFCS, as part of ITA funding, through the annual Commerce, Justice, Science, and Related Agencies (CJS) appropriations. Congress provides ITA with direct appropriations and also authority to derive certain additional amounts from user fees. GM, which includes the USFCS, is ITA's largest unit, both by appropriations and staffing.

For FY2026, President Trump proposed reducing GM's budget by more than half (see **Table 1**) and reducing GM's staffing by more than half (see **Table 2**), both compared to the FY2024 level (the most recent year for which complete information is available). The request aimed to "realign" GM's "worldwide footprint with key geostrategic and national security interests and

[13] ITA, "All Services," https://www.trade.gov/all-services.

[14] The USFCS's engagement with foreign governments appears to focus on a broader array of issues. In contrast, GM's Advocacy Center focuses specifically on supporting U.S. companies bidding on foreign public procurement projects.

[15] ITA, *Budget Estimates Fiscal Year 2026*, pp. ITA-37 – ITA-38.

[16] ITA, "Commerce Champions U.S. Jobs with Landmark Boeing-Turkish Airlines Deal," September 26, 2025; ITA, "Commerce Secure $3 Billion Boeing Commercial Deal with Air Cambodia in Fast-growing Southeast Asian Market," press release, February 3, 2026; and ITA, "Commerce Secures $20 Billion in Commercial Deals with Saudi Arabia," press release, November 19, 2025.

with the Administration's priorities," with GM "pursuing not just U.S. transactions and deals for American companies in foreign markets but bringing foreign investment back."[17]

Table 1. ITA Direct Appropriations, FY2023-FY2027

Millions of Current U.S. Dollars

	FY2023 Enacted	FY2024 Enacted	FY2025 Enacted	FY2026 Requested	FY2026 Enacted	FY2027 Requested
ITA units	**613.0**	**611.0**	**611.0**	**420.0**	**562.0**	**420.0**
Global Markets	374.0	372.5	—	178.3	—	—
Enforcement and Compliance	125.1	124.7	—	130.7	—	—
Industry and Analysis	86.7	86.4	—	84.4	—	—
Executive Direction and Administration	27.2	27.4	—	26.6	—	—

Sources: ITA annual congressional budget justifications (CBJs) and appropriations laws, relevant years; CRS Report R47750, *Trade-Related Agencies: FY2024 Appropriations, Commerce, Justice, Science, and Related Agencies (CJS)*, by Keigh E. Hammond; and CRS Report R48733, *Trade-Related Agencies: FY2026 Appropriations, Commerce, Justice, Science, and Related Agencies (CJS)*, by Keigh E. Hammond.

Notes: Unit-level amounts are provided by ITA's annual CBJs. "—" reflects amounts not specified in ITA's CBJs.

ITA is funded through a combination of direct appropriations and user fees collected for certain services. In addition to the direct appropriations listed in the table above, ITA's available funds include a portion to be derived from user fees. This user fee-based portion was $12.0 million for each of FY2023-FY2025 and $20.0 million for FY2026 (i.e., raising ITA's available funds to $582.0 million for FY2026) and for FY2027 (requested) (i.e., raising ITA's available funds to $440.0 million for FY2027, if enacted).

Table 2. ITA Full-Time Equivalents (FTE) Employment, FY2023-FY2027

	FY2023 Actual	FY2024 Actual	FY2025 Actual	FY2026 Requested	FY2026 Actual	FY2027 Requested
ITA units	**1,634**	**1,355**	**1,213**	**1,085**	**1,297**	**1,091**
Global Markets	888	678	—	313	—	
Enforcement and Compliance	383	340	—	397	—	
Industry and Analysis	246	234	—	271	—	
Executive Direction and Administration	117	103	—	104	—	

Sources: ITA annual congressional budget justifications (CBJs) and appropriations laws, relevant years.

Notes: Unit-level amounts are provided by ITA's annual CBJs. "—" reflects amounts not specified in ITA's CBJs. ITA has not released its FY2027 CBJ, to date.

In the enacted FY2026 appropriations, as in prior years, Congress did not provide a line item for funding for GM, USFCS, or other ITA subunits. Congress provided $562 million in direct appropriations for ITA, down 8% from $611 million in FY2025. It also provided authority for ITA to derive an additional $20 million in user fees, up 67% from $12 million in FY2025.[18]

[17] ITA, *Budget Estimates Fiscal Year 2026*, p. ITA-43.

[18] P.L. 119-74. For more information and background, see CRS Report R48733, *Trade-Related Agencies: FY2026 Appropriations, Commerce, Justice, Science, and Related Agencies (CJS)*, by Keigh E. Hammond.

In a report accompanying the draft CJS appropriations bill, the House Appropriations Committee directed ITA to "provide a detailed spending plan" for GM and to include "a staffing assessment and justification for any newly established or newly proposed offices."[19] The Senate Appropriations Committee stated that the Committee "recognizes the importance of Global Markets ... and continues to strongly support the program."[20]

Collaboration with the State Department

The USFCS has offices in about 40% of U.S. embassies. At the other 60% (generally in countries with smaller economies), State Department economic officers lead foreign commercial work, sometimes in formal collaboration with the Commerce Department. Specifically, under the *Partner Post Program*, U.S. embassies can apply to provide USFCS services at posts where USFCS is not present. About 60 embassies are currently partner posts (**Figure 1**).

Commerce and State also collaborate through the *Deal Team Initiative*, which aims to support U.S. exporters by bringing together the U.S. government's resources throughout the business deal cycle.[21] They also collaborate on producing annual reports on U.S. commercial relations with foreign countries and regions.[22] Additionally, Commerce and State are part of the interagency system led by the U.S. Trade Representative (USTR) to coordinate U.S. trade policy.[23]

Potential Reforms

Congress authorized the creation of the USFCS (15 U.S.C. §4721) and, with some exceptions, has generally delegated broad discretion over its operation to the Administration. Congress could expand, reduce, or maintain the USFCS through authorization language and the annual appropriations process. In addition, Congress may consider how various issues impact its oversight role, as discussed below.

Availability of Information on the USFCS

In searches for information about GM and the USFCS, CRS faced difficulty finding key information about these entities on the Commerce website, such as the allocation of staffing across GM, guidelines for determining where to locate USFCS offices domestically and overseas, and the overall demand of U.S. businesses for USFCS services. In cases where such information is provided, it does not appear to be provided consistently. ITA's CBJs vary in the detail they provide on GM activity year-to-year, and Commerce's annual performance reports and plans do not seem to provide detailed GM- and USFCS-specific data.[24]

A 2023 report by Commerce's Office of Inspector General (OIG) on ITA's work to resolve foreign trade barriers found that ITA's reporting was incomplete and did not accurately reflect the status of its efforts.[25] For example, the OIG noted that Commerce did not report ITA's work to

[19] H.Rept. 119-272. For example, see https://www.trade.gov/country-commercial-guides and https://www.state.gov/investment-climate-statements.

[20] S.Rept. 119-44.

[21] U.S. Department of State, "Deal Teams," https://www.state.gov/deal-teams/; and the National Defense Authorization Act (NDAA) for FY2024 (P.L. 118-31, §6503).

[22] 22 U.S.C. §9903.

[23] 19 U.S.C §1872.

[24] Commerce Department, "Budget and performance," https://www.commerce.gov/about/budget-and-performance.

[25] Commerce OIG, *ITA Did Not Effectively Resolve Foreign Trade Barriers*, November 1, 2023.

address trade barriers as a separate performance measure in its annual performance report; and that ITA chose "the most compelling action and decision stories to report to Congress and the public," leading to a perception of success when cases were not fully resolved.[26] The OIG stated that such reporting deficiencies constrained ITA's ability to accurately assess the value of its efforts and use such information to inform activities aimed at addressing foreign trade barriers and attracting foreign investment. The majority of the foreign trade barriers on which ITA engaged concerned market access issues and thus involved GM.[27]

Information gaps may complicate congressional oversight and affect GM's effectiveness. Should Congress determine that it has insufficient information to conduct oversight of GM operations, it may consider a number of options to improve the flow of information from Commerce to Congress and/or the public. For example, Congress could require GM to improve the quality of its data collection, analysis, and reporting, including by implementing the OIG's recommendations. Congress also could require GM to produce an annual or biennial report on its activities and policy priorities, which could be made available publicly online or provided directly to key congressional committees. Congress also could require GM to notify congressional committees of specific policy changes (e.g., advance notification of GM closing or opening an office domestically or overseas). Congress also could require the GM to brief key committees about trends in the demand for USFCS services and/or maintain a public database on USFCS support to U.S. companies, while suppressing any business confidential information.

In considering such options, Congress could assess to what extent reporting requirements might strain GM resources. To minimize any excess administration burden, Congress could tailor the scope and timing of any new GM reporting requirements, or provide funding for GM to hire additional staff or external consultants to prepare or assist with reporting.

Reform Considerations from the Private Sector

In 2023, ITA sought public comments from the business community over a 30-day period about how the USFCS could modernize and improve its services.[28] Congress could request GM officials to brief key congressional committees on the feedback ITA received and subsequent reforms it made to the USFCS, if any. Given broad changes in U.S. trade policy and the global economy since 2023, Congress also could direct the USFCS to hold another public comment period, as well as hold hearings itself with private sector representatives.

Congress also could direct the Administration to use an existing trade advisory committee, or create a new advisory committee, to gather feedback on U.S. commercial diplomacy efforts. In 1974, Congress established a trade advisory system that requires the President to seek information and advice from the private sector and the nonfederal governmental sector (19 U.S.C. §2155). The trade advisory committee system, overseen by the Office of the USTR, currently includes 27 committees and approximately 500 citizens.[29]

Congress could also instruct the President, Commerce Secretary, or other Administration official to establish an advisory committee to receive stakeholder views specifically on USFCS activities.

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[26] Commerce OIG, *ITA Did Not Effectively Resolve Foreign Trade Barriers*, November 1, 2023, pp. 6, 8. In Commerce's FY2024 annual performance report, CRS identified one mention of the term "trade barrier" in relation to ITA support for projects that address trade barriers. See https://www.commerce.gov/sites/default/files/2025-01/FY-2024-APR.pdf, p. 8.

[27] Commerce OIG, *ITA Did Not Effectively Resolve Foreign Trade Barriers*, November 1, 2023, p. 1.

[28] ITA, Department of Commerce, "Request for comments," 88 *Federal Register* 43286, July 7, 2023.

[29] Office of the USTR, *2026 Trade Policy Agenda and 2025 Annual Report*, February 2026.

One possible model is the former U.S. Investment Advisory Council, established by the Secretary of Commerce to obtain input on foreign direct investment issues and programs.[30] Another possible model is Ex-Im Bank's advisory committee mandated to advise on its programs and report to Congress on the extent to which the Bank is meeting its mandate (12 U.S.C. §635a(d)).

Programs Closely Tied to the Commercial Service

While the USFCS is established in statute, the Advocacy Center and SelectUSA are not.[31] Commerce created the Advocacy Center in 1993 and President Barack Obama established SelectUSA in 2011 via Executive Order.[32] If Congress supports these programs, it could formally establish them in U.S. law. Codification could provide greater transparency and clarity about their scope and purpose. It also could enable Congress to shape their operations and priorities, strengthen the programs' durability during any future department reorganizations, and signal a U.S. priority to address foreign trade barriers and to attract investment. However, legislating the programs could limit activities to legislative directives and require additional actions from the Commerce Secretary should it desire to adapt the programs in response to any changes in U.S. economic and foreign policy priorities and U.S. business needs.

Commercial Diplomacy Priorities

Through legislation and committee reports, Congress could shape where and how the USFCS operates. For example, Congress could direct the USFCS to prioritize specific types of U.S. businesses—such as first-time exporters, businesses in economically depressed regions of the United States, or businesses working in sectors critical to national security. Congress also could direct the USFCS to prioritize specific foreign markets—for instance, in areas with shared U.S. interests or in markets facing significant competition from PRC investors. Congress also could shape how the USFCS prioritizes its services—for example, to focus on providing in-depth services to a small number of U.S. firms, providing basic services to a broad set of U.S. businesses, or providing services based on strategic priorities.

Additionally, Congress could provide more specific direction to GM on how its resources are allocated. For example, it could specify factors for GM to consider when determining whether to open or close offices domestically or overseas; require ITA to consult with Congress before making any major reductions or additions to GM staffing; and conduct oversight on potential factors within ITA affecting GM employment (e.g., human capital functions, organizational culture, and attrition).

At the same time, legislating priorities could affect the pace at which USFCS adapts to changing foreign and economic circumstances. If Congress chooses to establish commercial diplomacy priorities, a key consideration could be how to balance its priorities with executive branch flexibility and how to address other priorities. One option could be for Congress to add a sunset date to any mandates, thereby enabling USFC to make possible adjustments in the long-term, or require the USFCS to conduct a review of the mandates after a period of time and recommend adjustments, if any, to Congress.

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[30] Executive Order 13577 of June 15, 2011, "Establishment of the SelectUSA Initiative," 76 *Federal Register* 35715, June 20, 2011.

[31] ITA has cited to 15 U.S.C. §634c, which discusses responsibilities of the U.S. Small Business Administration's Office of Advocacy, as pertaining to GM's advocacy functions.

[32] Executive Order 13577 of June 15, 2011.

Some Members in the 119th Congress have introduced legislation that would direct the USFCS to increase its operations in the Pacific Islands (H.R. 562) and Africa, Latin America, and the Caribbean (S. 816). Some also have proposed legislation to ensure USFCS support for U.S. businesses in rural areas (S. 2456), microentrepreneurs (S. 1125), and creative industries (S. 1125). Additionally, as noted earlier, in its FY2026 CJS report, the House Appropriations Committee directed ITA to "provide a detailed spending plan" for GM and include in this plan "a staffing assessment and justification for any newly established or newly proposed offices."[33]

USFCS Structure

Members have proposed different configurations over the years for ITA's structure, such as moving the USFCS to USTR (e.g., 104th Cong., H.R. 1756) or a new trade department (e.g., 104th Cong., S. 929, reported with amendment). Legislation introduced in 2020 would have transferred the Foreign Commercial Service to State (116th Cong., H.R. 7408 and H.R. 7549). During the 119th Congress, legislation was filed in the House Foreign Affairs Committee, but then withdrawn, to move all of GM (including USFCS) to State during a mark-up of State Department reauthorization legislation (H.R. 5248).[34]

Moving the USFCS or GM from Commerce to State, for example, could elevate the importance of commercial diplomacy at U.S. embassies and promote the full use of diplomatic tools to advance U.S. commercial interests. It also could reduce overlap or duplication of functions between USFCS and State economic officers, build on State's existing expertise conducting commercial diplomacy at partner posts, and leverage State's HR expertise in managing overseas personnel.

At the same time, there could be disadvantages to moving the USFCS or GM to State. Commerce employees generally have stronger business-related work experience and educational training than State employees, and it may be unclear whether State has sufficient staff to fulfill USFCS' mission. It also may not be clear how State would address conflicts that could arise between U.S. commercial interests and broader U.S. foreign policy priorities; as noted earlier, arguments from the business community that State was insufficiently sensitive to the business community is one of the key reasons the Carter Administration transferred overseas commercial work to Commerce in 1980.[35] Additionally, there may be questions about State's capacity to effectively absorb and administer more than 100 USFCS offices located across the United States.

Should Congress opt to separate USFCS and/or GM from other parts of ITA, it might consider how the separation could affect their effectiveness. Options could include, for example, conducting oversight hearings and/or directing the U.S. Government Accountability Office (GAO) to examine the extent to which USFCS and/or GM collaborates, coordinates, and relies on other ITA units, and vice versa, such as on business contacts and networks, data analysis, and information on foreign trade barriers, and how any such linkages could affect ITA operations.

Congress could alternatively transfer State's overseas commercial work to Commerce, consolidate commercial diplomacy activities under a different agency such as USTR, create a new agency focused on commercial diplomacy, or establish a State-Commerce working group on

[33] H.Rept. 119-272.

[34] Amendment to H.R. 5248, https://docs.house.gov/meetings/FA/FA00/20250917/118618/BILLS-119-5248-K000397-Amdt-65.pdf.

[35] Douglas A. Irwin, *Clashing Over Commerce: A History of U.S. Trade Policy* (University of Chicago Press, 2017), p. 526; and U.S. General Accounting Office, *U.S. & Foreign Commercial Service: Comments on Proposed Transfer to the Department of State*, March 21, 1995

commercial diplomacy. Congress also could consider whether to include commercial diplomacy functions at other U.S. agencies as part of a potential reorganization. For instance, the Foreign Agricultural Service of the U.S. Department of Agriculture (USDA) has commercial service officers overseas at U.S. missions, and both USDA and the Small Business Administration have staff co-located with USFCS staff in U.S. offices.

Maintaining the status quo, wherein Commerce leads commercial diplomacy efforts in countries with large markets and State leads commercial diplomacy in small economies, is also a policy option. The different policy options have varying pros and cons, and the optimal choice depends on Congress's overarching policy goals.

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